

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC

RESPONDENT.

**COMPLAINANT PELOTON INTERACTIVE, INC.'S
MOTION TO COMPEL**

Pursuant to the Federal Maritime Commission’s (“FMC”) Rules of Practice and Procedure 46 C.F.R. §§ 69, 141, 145, 146, and 150, Complainant Peloton Interactive, Inc. (“Peloton”) by and through its undersigned attorneys, hereby files this Motion to Compel (“Motion” or “MTC”) Respondent Flexport International LLC (“Flexport”) to respond to certain Peloton interrogatories (“Rogs”) and requests for production (“RFPs”) (collectively, “Discovery Requests”).

I. PROCEDURAL BACKGROUND

On October 2, 2024, Peloton filed its Verified Amended Complaint (the “Complaint”) with the FMC. Peloton alleges that Flexport’s unjust and unreasonable practices, and specifically Flexport’s assessment of demurrage, detention, per diem, and similar charges (“D&D”) on Peloton, violated the Shipping Act of 1984, 46 U.S.C. § 40101, et seq. (the “Shipping Act”). Exhibit A to the Complaint (“Exhibit A”) identifies the more than 3,200 invoices and accompanying charges at issue.

On December 27, 2024, after reviewing Flexport’s responses to Peloton’s Discovery Requests, Peloton’s counsel provided Flexport with a written summary and explanation of the deficiencies in those responses, including, among other things, Flexport’s failure to provide any substantive responses to several of Peloton’s Discovery Requests regarding core issues in this proceeding, and unilaterally limiting its document search and production to April 1, 2021 onward, rather than the relevant time period of January 1, 2020 onward.

In response, Flexport alleged a lack of relevance and reiterated the incredible contention that it still does not understand the basis for Peloton’s claims – notwithstanding that Peloton has laid out its position numerous times in detail in its Complaint and in the extensive briefing on

Flexport's denied Motion to Dismiss and pending Motion for Judgment on the Pleadings.¹ Peloton followed up the next day requesting a meet and confer to discuss Flexport's deficiencies, along with the alleged deficiencies Flexport had purported to identify in Peloton's discovery responses.

The meet and confer was held on January 3, 2025. Prior to the meet and confer, Flexport responded to Peloton by restating their position that the information and documents sought were not relevant. During the meet and confer, when Peloton raised the referenced deficiencies and inquired if Flexport would supplement its Discovery Responses, Flexport reiterated the same arguments that the Discovery Requests were not relevant and refused. Flexport asked Peloton to withdraw its written discovery objections and amend its responses referring Flexport to Peloton's document production with bates ranges. Peloton responded that it would not agree to withdraw its objections, but would consider supplementing its interrogatory responses with references to bates numbers. Flexport represented that it would not amend its responses or produce additional documents. Notwithstanding Peloton's offer regarding its own responses, Flexport filed a premature Motion to Compel on January 3, 2025.

Peloton files this Motion to Compel Flexport to amend its written discovery responses and supplement its production to sufficiently respond to Peloton's Discovery Requests, which seek information and documents that are directly relevant to Peloton's claims in this proceeding.

II. LEGAL STANDARD

FMC Rules of Practice and Procedure ("FMC Rules") permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1). FMC Rule 150 authorizes the Presiding Officer to compel the production of information when a

¹ Peloton further contends that the numerous discovery requests and disputes in this proceeding effectively nullifies Flexport's Motion for Judgment on the Pleadings; there are clearly numerous factual disputes that need to be addressed through the discovery process.

party fails to respond to a party's discovery requests, has provided insufficient or inadequate responses, or hides behind spurious objections. 46 C.F.R. § 502.150.

“As to discovery, the Shipping Act directs the FMC to follow the Federal Rules of Civil Procedure to the extent possible.”² Consistent with the FMC's regulations, the Federal Rules permit parties to “obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense.”³ The Federal Rules embody “a liberal discovery standard,” and “the term relevance at the discovery stage is a broadly construed term and is given very liberal treatment.”⁴ The presiding officer in an FMC proceeding “may order discovery of any matter relevant to the subject matter involved in the action.” 46 C.F.R. § 502.141(e)(1).

III. ARGUMENT

Flexport has failed to comply with its discovery obligations and is withholding responsive documents and information relevant to core issues in this proceeding. Accordingly, Peloton respectfully moves that Flexport be required to comply with its discovery obligations.

First, Flexport has objected to the relevant time period for Peloton's Discovery Requests, which is January 1, 2020 onward (“Relevant Time Period”) in order to capture documents and information related to all charges at issue in this proceeding, and Flexport's years-running pattern and practice of issuing unreasonable detention and demurrage charges. In support, Flexport contends that the FMC's three-year statute of limitations for reparations claims limits the applicable discovery period. Not only is Flexport misinterpreting the statute of limitations—which

² *Marine Transport Logistics, Inc. v. CMA CGM, S.A.*, Dkt. No. 22-23, 2023 WL 7328874, at *5 (FMC Oct. 30, 2023); *see also Fed. Maritime Comm'n v. South Carolina State Ports Auth.*, 535 U.S. 743, 758 (2002) (“[D]iscovery in FMC adjudications largely mirrors discovery in federal civil litigation.”).

³ *See Standley v. Edmonds-Leach*, 783 F.3d 1276, 1282 n.1 (D.C. Cir. 2015).

⁴ *Thomas v. Moreland*, Civil Action No. 18-800 (TJK), 2020 WL 13695157, at *1 (D.D.C. 2020) (quoting *Tequila Centinela, S.A. de C.V. v. Bacardi & Co.*, 242 F.R.D. 1, 6 (D.D.C. 2007)).

applies to the legal viability of claims, not the scope of a party's discovery obligations—it ignores Peloton's specific allegations that Flexport's pattern and practice of assessing unreasonable detention and demurrage charges has been occurring on a normal, customary, and continuous basis since at least 2020. Until and unless the FMC rules that any claims are time-barred by the statute of limitations, all invoices identified in Exhibit A are at issue in this proceeding, and Flexport is deliberately withholding responsive documents and information related to those claims. Moreover, Flexport cannot unilaterally adjust the applicable discovery period, as the date of accrual is a question to be resolved through discovery.

Second, Flexport has failed to respond to numerous Discovery Requests on the basis that the information and documents sought are not relevant, or that Peloton's requests are "ambiguous." See attached Exhibit 1, where Peloton addresses the specific objections individually. Flexport's basis for withholding documents is in direct contravention with FMC Rules, as Peloton's requests are directly relevant to the alleged Shipping Act violations. *Id.*; *Maier Terminals LLC v. Port Auth. of New York and New Jersey*, Dkt. No. 08-03, 2010 FMC LEXIS 31, at *13 (FMC July 23, 2010) (where a party resists production of documents, that party "bears the burden of establishing lack of relevancy or undue burden" and that the requested information does not "come within the broad scope of relevance ... or else [is] of such marginal relevance that the potential harm occasioned by discovery would outweigh the ordinary assumption in favor of broad disclosure.")). Further, Flexport's objections on the grounds of ambiguity are clearly manufactured to avoid responding to specific Discovery Requests, including those concerning its practices for assessing and collecting demurrage.

A. Objection to Relevant Time Period

Without a legitimate basis, Flexport applied the Shipping Act's three-year statute of limitations to its discovery responses, asserting the following general objection to the Relevant Time Period:

“Flexport objects to the relevant time period beginning January 1, 2020. As the Commission has reminded Peloton, there is a 3-year statute of limitations for claims under the Shipping Act. As such, for purposes of responding to the discovery, **Flexport’s search and production only include documents and information from May 8, 2021 to the present. In good faith, Flexport has extended this period to April 1, 2021.**”

Flexport’s Responses, General Objections to Rogs. at ¶ 8 and RFPs at ¶ 8. (emphasis added).

FMC Rule 62 provides that “[a] complaint seeking reparation must be filed within three years after the claim accrues.” 46 C.F.R. § 502.62(a)(4)(iii). While the three-year statute of limitations applies to recovery of reparations, it is not intended to limit discovery, and it also does “*not apply to complaints seeking nonreparation orders.*”⁵ Further, Flexport’s contention that FMC Rule 62 applies to discovery requests contradicts FMC Rule 141(e), which allows a party to “obtain discovery regarding any nonprivileged matter that is relevant to any party's claim or defense.” 46 C.F.R. § 502.141(e). These rules, combined with the FMC’s deliberate use of a flexible approach to discovery and accrual dates due to its vested interest in adjudicating Shipping Act violations, defeat Flexport’s arguments.

Peloton seeks both reparations and a non-reparation order for Flexport’s unlawful conduct. Complaint at p. 13. The Complaint alleges that Flexport has shipped Peloton goods since at least 2015 and has failed to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Peloton’s goods, in violation of 46 U.S.C. § 41102(c)

⁵ *Inlet Fish Producers v. Sea-Land Service, Inc.*, Dkt. No. 00-03, 2001 WL 1632551, at *10 (FMC Sept. 19, 2001) (emphasis added).

and 46 C.F.R. §§ 545.4 and 545.5 (unreasonable practices). Complaint at ¶¶ 9, 14. Moreover, the Complaint contends that these shipments were executed under various agreements and arrangements, including some established in 2020 and 2021, as confirmed by Flexport in its Answer to the Complaint. Complaint at ¶ 14, Exhibit A; Answer at ¶ 14.

As reflected in Exhibit A, Peloton's Complaint involves charges on thousands of shipments, and Flexport's unsupported statements do not establish when Peloton's claims accrued. Flexport routinely invoiced Peloton for charges several months after assuming custody and control of shipments. Consequently, even if the FMC were to determine that Peloton's claims accrued on the invoice issuance date—a factual finding that cannot yet be made due to ongoing discovery—the underlying facts, documents, and information relevant to each invoice would predate the invoice issuance date.

Flexport lacks any legitimate basis for unilaterally altering the response period and withholding these documents. Accordingly, Flexport should be directed to produce all relevant and responsive documents for the entire Relevant Time Period.

B. Specific Objections to Interrogatories and Requests for Production

In response Peloton's Discovery Requests, Flexport provides inadequate, boilerplate objections, including objections to discovery requests geared toward core issues in this proceeding. Flexport should be required to withdraw such objections and provide adequate written responses and produce any relevant documents.

1. "Not Calculated to Seek Relevant Evidence"

Flexport repeatedly objects to Peloton's Discovery Requests based on relevance, contending that the Discovery Requests are "not calculated to seek relevant evidence" and reiterating its factual contention that Peloton's goods were not moving under "store door" terms. *See* Rog. Nos. 4, 11, 12 and RFP Nos. 4, 5, 7, 9, 11, 15, 18. As a result, Flexport has refused to

respond to several of Peloton's core Discovery Requests, including those related to store door moves and third party arrangements, in violation of FMC Rules.⁶

FMC Rule 141(e)(1) permits discovery on "any nonprivileged matter that is relevant to any party's claim or defense ... [which] need not be admissible at hearing if the discovery appears reasonably calculated to lead to the discovery of admissible evidence." 46 C.F.R. § 502.141(e)(1). As the party resisting the production of documents, Flexport "bears the burden of establishing [a] lack of relevancy or undue burden" and that the requested information does not "come within the broad scope of relevance . . . or else [is] of such marginal relevance that the potential harm occasioned by discovery would outweigh the ordinary assumption in favor of broad disclosure."⁷ Flexport has failed to meet this burden. While Flexport may dispute the legal and factual claims in Peloton's Complaint, it cannot refuse to respond to Discovery Requests on that basis, nor can Flexport "limit its discovery to what it believes should be the core issue in [the] proceeding." *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd.*, Dkt. No. 21-05, 2021 WL 5908366, at *4 (ALJ Dec. 8, 2021) (*see also Johnson v. Kraft Foods N. Am., Inc.*, 236 F.R.D. 535, 541 (D. Kan. 2006) ("a party may not unilaterally withhold information or documents that are responsive to a discovery request" based on that party's own interpretation of relevance)).

Peloton specifically alleges that Flexport transported Peloton's goods in ocean shipping containers under store door or "carrier haulage" terms, where Flexport was responsible for both

⁶ *See, e.g., Request for Production 9:* Produce all Documents relating to or reflecting agreements between Flexport and any Motor Carrier and Flexport and any railroad in connection with the Peloton Shipments.

Flexport Response: Flexport objects to the instant request on the ground that it is not calculated to seek relevant evidence. The agreements, if any, would be proprietary and would have no bearing on any issue in this litigation.

⁷ *Maier Terminals LLC*, Dkt. No. 08-03, 2010 LEXIS 31, *13.

the ocean and inland transportation.⁸ To facilitate the movement of Peloton’s shipments, Flexport utilized subcontractors, e.g., ocean carriers, motor carriers, and railroads.⁹ Flexport was directly responsible for handling Peloton’s goods and delivering them to the inland destination, and that responsibility extended to the actions of its subcontractors. Discovery pertaining to Flexport’s status as an NVOCC, and its assumption of responsibility for both the inland and ocean transportation of the cargo, is plainly relevant to the claims and defenses in this proceeding and requires discovery with respect to Flexport’s underlying agreements, charges, and routine practices.¹⁰ Flexport cannot contest its responsibility for the transportation of Peloton’s goods and at the same time claim that evidence directly relevant to the determination of such responsibility is “not calculated to seek relevant evidence.” Accordingly, any documents and information pertaining to Flexport’s movement of Peloton’s goods—including its use of and relationships with subcontractors engaged in that process—is directly relevant to Peloton’s claims within the meaning of Rule 141(e).

2. “Vague and Unduly Burdensome”

Flexport similarly objects to several Discovery Requests by asserting that they are vague and/or unduly burdensome. *See* Rog Nos. 7, 8, 11 and RFP Nos. 11, 13, 15, 19. “Discovery requests must be given a reasonable construction, and a responding party is not permitted to conjure up

⁸ Complaint ¶¶ 15-16; Flexport Answer at ¶ 15 “[a]s an NVOCC, Flexport made arrangements for the transportation of a portion of Peloton’s goods.”

⁹ *See* Answer, Affirmative Defense No. 6. (confirming that “[a]ny demurrage or detention charges complained of was due in whole or in part to the acts and/or omissions of the motor carrier(s), ocean carriers, terminal operators, warehousemen, rail carriers and/or the cargo interest(s).”)

¹⁰ *See Worldwide Relocations, Inc. Possible Violations*, Dkt. No. 06-01, 2010 WL 11768817 (ALJ Aug. 16, 2010); *CMI Distribution, Inc. v. Service by Air, Inc. Radiant Customs Servs. Inc.*, Dkt. No. 17-05, 2019 WL 4734318 (ALJ May 24, 2019).

ambiguity where there is none.”¹¹ Flexport repeatedly “conjure[s] up ambiguity” as a basis for not responding to Peloton’s Discovery Requests.¹² For example, when asked to identify and describe Flexport’s practices, policies and procedures regarding the assessment and collection of Demurrage with respect to the Peloton Shipments, Flexport responds that “it is unclear what is meant by Flexport’s practices with respect to the collection of demurrage and whether payment of demurrage is ‘guaranteed’ by Flexport.” Rog. No. 7. Peloton’s request is specific, comprehensible and relevant to a core issue in this proceeding—Flexport’s practices in assessing demurrage charges on its customers—yet Flexport contends it does not understand and thus will not respond.

Similarly, Flexport refuses to produce any documents in response to multiple Discovery Requests on the grounds that the requests are “vague,” but fails to meet its burden of explaining “the specific and particular way” in which the requests are vague.¹³ For example, where Peloton requests documents related to Flexport’s policies and procedures related to detention, demurrage, and compliance with the Shipping Act (RFP No. 13), Flexport objects on the grounds that the request is vague and asks “[w]hat is meant by policy, standard, practice, or procedure with respect to charging detention and demurrage?” Applying common sense and the ordinary meaning of the words in the request, there is no ambiguity. In each case, Flexport has, without legitimate justification, failed to produce numerous documents of central relevance to this proceeding.

¹¹ *Cartel Asset Mgmt. v. Ocwen Fin. Corp.*, Civil Action No. 01–cv–01644–REB–CBS, 2010 WL 502721, at *10 (D. Co. Feb. 8, 2010) (quoting *King-Hardy v. Bloomfield Bd. of Educ.*, No. Civ.3:01CV979 (PCD), 2002 WL 32506294, at *5 (D. Conn. 2002)).

¹² Flexport did provide written responses to certain of Peloton’s interrogatories; however, these responses are evasive and not responsive to the substance of the interrogatories. For example, rather than explain its policy for assessing demurrage and detention, Flexport points to its Rules Tariff and contracts as the sole policy, and then provides a long diatribe regarding the efforts Flexport allegedly expended trying to bring Peloton goods into the U.S. See Rog. No. 7.

¹³ See *Baker v. Walters*, 652 F. Supp. 3d 768, 780 (N.D. Tex. 2023) (quoting *VeroBlue Farms USA Inc. v. Wulf*, 345 F.R.D. 406, 419 (N.D. Tex. 2021)).

Flexport has manufactured ambiguity to avoid responding to Rog Nos. 7, 8, 11 and RFP Nos. 11, 13, 15, 19, as explained in detail in Exhibit 1. Without a legitimate basis for failing to respond, Flexport should be required to amend its responses to the subject Discovery Requests.

Meet and Confer Certification

The parties once again met on January 3, 2025, where Flexport maintained that Peloton's requests were irrelevant and refused to produce additional documents. On January 14, 2025, Peloton emailed Flexport's counsel to confirm that Flexport's position remained unchanged. Flexport responded that they would provide a response the next day. Peloton followed up, stating that Flexport had been aware of the deficiencies since January 3 and that if Flexport could not confirm its intention to provide supplemental production, Peloton would file a motion to compel. At the time of this motion, Flexport has not provided an additional response.

Conclusion

For the foregoing reasons, Peloton respectfully requests that the Presiding Officer grant Peloton's Motion and require Flexport to comply with its discovery obligations under Rule 141.

Dated: January 14, 2025

Respectfully Submitted,

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel at the following email addresses:

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